

Business Cycles: How a Shock Spreads

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Source: IMF, From Crisis to Recovery in Korea; What Is Keynesian Economics?. Teaching application of credit and spending feedback mechanisms.

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- ▶ Firms cut investment, purchases from suppliers, and hiring.
- ▶ Lower household income reduces consumption, weakening sales in other industries.
- ▶ Falling profits and collateral values can restrict credit further. This feedback amplifies the original shock across the economy.

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Business Cycles: The Pain of Recession

- ▶ **Lost production:** Actual output can fall below potential output, the level consistent with sustainable use of labor and capital.
- ▶ **Cyclical unemployment:** Weak demand reduces hiring and raises layoffs. Workers lose earnings even though they remain able to work.
- ▶ **Financial distress:** Lower income and profits make existing debts harder to repay, increasing default risk.
- ▶ **Lasting damage:** Prolonged unemployment can erode skills. Reduced investment can leave a smaller future capital stock.

Source: IMF, Hysteresis and Business Cycles. Lasting effects are possible, not inevitable after every recession.